

Robinhood Markets, Inc.

HOOD NASDAQ

Hold	\$110.30 ▼ 3.52%	12M Price Target \$125.00	52-Week Range \$63.52 – \$153.86	Market Cap \$99.17B
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HOOD: Crypto Rules Wobble, Clarity Act Decision Looms

WHAT HAPPENED

- HOOD dropped 3.5% today alongside Coinbase — both got hit because a decision on the Clarity Act (the big crypto market structure bill that would formally divide oversight between the SEC and CFTC) is imminent, and traders are de-risking crypto-exposed names until they know which way it lands.
- Broader tape was ugly too — tech sold off on "AI and bond jitters" (meaning rising Treasury yields making growth stocks less attractive), so HOOD got hit twice: once for being crypto-heavy, once for being a high-multiple growth name.

WHY IT MATTERS

Here's the thing — this selloff is actually a binary event setup, not a fundamental deterioration. The Clarity Act, if it passes with favorable language, would be a massive win for HOOD because it gives them a clear regulatory lane to keep expanding crypto trading (which is now a huge chunk of their revenue) without SEC enforcement risk hanging over every product launch. If it fails or gets watered down, HOOD keeps operating under the current murky rules — not fatal, but the growth story loses its clearest catalyst. Notice the options flow though: massive call buying at \$111-112 strikes with 3-7x normal open interest — smart money is positioning for a bounce, likely betting the bill passes or that the pullback is overdone.

POLICY & POLITICAL WATCH

The Clarity Act (formally the Financial Innovation and Technology for the 21st Century Act framework) is the single most important piece of legislation for HOOD right now — it would establish which crypto assets are securities (SEC turf) vs. commodities (CFTC turf, which is way friendlier to brokers). Under the current administration's pro-crypto stance, passage is the base case, but the timing keeps slipping and every delay creates a headline-driven selloff like today. Separately, watch payment for order flow (PFOF) — the practice where market makers pay HOOD to route trades to them, which is ~40% of their revenue — the SEC under the new leadership has backed off the aggressive rulemaking Gensler pushed, which is a quiet but huge tailwind nobody's pricing in.

IS IT EXPENSIVE?

At \$110, HOOD trades around 20x forward revenue and roughly 60x forward earnings — meaning investors are paying \$60 for every \$1 the company is expected to earn next year. That's rich compared to Schwab at ~18x earnings, but HOOD is growing revenue 3-4x faster and has actually flipped profitable, so the premium isn't crazy — it's just fully priced with no room for disappointment. Translation: at these levels you need the Clarity Act to pass AND crypto volumes to stay strong, or the multiple compresses.

Key Data

Price (USD)	\$110.30
12M Price Target	\$125.00
Upside / (Downside)	+13.3%
Market Cap	\$99.17B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.60
Fwd P/E	59.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$125.00	\$112.00	\$98.00
6 Months	\$145.00	\$120.00	\$90.00
1 Year	\$165.00	\$125.00	\$80.00
2 Years	\$210.00	\$150.00	\$70.00
5 Years	\$320.00	\$200.00	\$55.00
10 Years	\$500.00	\$275.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.05% today, +1.67% week) — likely getting a bid from geopolitical tension and the administration's continued permitting reform push. Traditional value catching a rotation bid.

COOLING OFF: Tech (-2.09% for the week) and Industrials (-2.75%) — the bond market is the villain here. Higher yields make future earnings worth less today, which hurts growth stocks like HOOD directly.

ROTATION WATCH: Money is rotating OUT of high-multiple growth (crypto, AI, SaaS) and into energy/defensives as bond yields tick up. This is macro-driven, not company-specific — meaning HOOD's selloff isn't about the business, it's about the tape.

RELATED PLAY: If the Clarity Act passes, the second-order winner is Coinbase (COIN) — bigger crypto pure-play with more upside if regulation clarifies. If it fails, Schwab (SCHW) wins because retail flows return to traditional brokers.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon Mobil): Energy sector leading — rising oil prices plus friendly permitting environment under current administration.
- SCHW (Charles Schwab): Trading like a defensive brokerage — benefits from higher rates via net interest income without the crypto regulatory overhang.

HOOD CONTEXT: HOOD is lagging today because it's the high-beta crypto-adjacent name in the brokerage group — when there's regulatory uncertainty, capital rotates from HOOD to SCHW temporarily. This is a normal pattern; historically HOOD snaps back hard when the uncertainty resolves, regardless of direction.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$95-100 on Clarity Act uncertainty pullbacks

Time Horizon: 12-18 months

Thesis Invalidation: Clarity Act fails AND SEC reopens enforcement posture on crypto brokers

Hedging: Pair with a long Schwab (SCHW) position — traditional broker that benefits if retail crypto flows get regulated back to established players